HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

REGISTERED NUMBER : 526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 29 December 2007 (2006 53 weeks ended 30 December 2006)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

Howden Joinery Limited ("Howden Joinery" or "the Company") is a wholly owned subsidiary of Galiform Plc, and operates as part of Galiform Plc's Trade division Howden Joinery sells kitchens and joinery products to the building trade, predominantly small local builders, via a nationwide network of depots There have not been any significant changes in the Company's principal activities in the period under review On 30 December 2007 the trade and net liabilities of Howden Kitchens Limited, (also a wholly owned subsidiary of Galiform Plc), were transferred to Howden Joinery Limited, as detailed in note 19 on page 17 The principal activities of Howden Kitchens Limited are the design and sourcing or manufacture of kitchen cabinetry, joinery products and appliances, primarily for Howden Joinery Limited

As shown in the Company's profit and loss account on page 7, the Company's sales have increased by 14% over the period and profit after tax has improved from £79m to £85m The profit for the financial period as shown in the profit and loss account on page 7 amounted to £85m The directors are not recommending a final dividend to be paid

The balance sheet on page 8 of the financial statements shows that the Company's financial position at the end of the year is consistent with prior years in terms of both net assets and cash Details of amounts owed to and from the parent and other group companies are shown in notes 10 and 11

Current Year

The sustained growth in sales and profits throughout the year reflects the robustness of Howden Joinery's business model, the expansion of the depot network and the Company's ability to provide added value to customers

Local builders are the Company's core customers – the people who use Howden Joinery depots every day A builder acts as a project manager, with several projects on the go at any one time As well as having a craft skill, builders are also business people who need to make money Howden Joinery helps them do this by supplying the product they want – rigid boxes, ready to install – from stock, locally, at the right price and on suitable terms That means everyday low price rather than promotions, which helps builders to plan ahead, a trade discount, which represents their margin, and a net monthly account, which helps them to manage cash flow This is a business that is about trust, personal relationships and reliability Builders see the same faces in their local depot week in, week out Around the country over 200,000 builders know they can rely on Howden Joinery to help solve their problems

When builders go in to a Howden Joinery depot, they can get what they want in a straightforward trade environment Each depot is set up so that it can maximise margins while minimising costs Local accountability is in place, so depot managers have real responsibility They can tailor stock to what they know sells locally, and they can price and market it to suit local demand Everyone's interests are aligned

On average, it will take seven years for a depot to reach maturity, with its continuing growth driven by its manager and staff, who are responsible for building business in their local area Over the past two years, 94 depots have been opened, bringing the total to 436 at the yearend We are confident that the business model, and market trends, will support the further expansion of the network to at least 600 depots

Depot costs are kept to a minimum The average depot is around 10,000 square feet in size with a rental cost of approximately £5 per square foot Rents are low because the depot is sited somewhere that is convenient for the trade customer, rather than in a smart retail location

There is no advertising, but market-leading catalogues are produced that show the entire product both in detail and in room sets so that builders, and their customers, can see how it works with other products During the year, the Expo Centre was opened in Kent, which showcases leading-edge designs, encouraging feedback from architects, project specifiers and developers as well as from staff and customers Two large show-trailers also take the Expo concept around the country, visiting each depot so that everyone can get a flavour of what is current, and what is new, in kitchen design

In summary, the Company has a powerful but simple customer proposition

- First class kitchens
- In volume
- From stock
- Selling to 180,000 account customers
- On a repeat basis

As a result, Howden Joinery now has a proven business model, operating at scale, supplying an increasingly demanding and supportive customer base Our priority for the year ahead is to build on our strong market position, generating further efficiencies, improving every process and delivering even greater value to all involved

PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Howden Joinery business depends on maintaining the culture and business model as the Company grows The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure The Group risks are discussed in the Group's Annual Report which does not form part of this report

SOCIAL AND EMPLOYEE ISSUES

Our mission is to supply, from local stock, the small builder's routine kitchen and joinery requirements, with no call back quality and at best local trade price However, as a business which is part of a local community, this cannot come at any cost

The business is built on relationships, relationships with customers, suppliers, employees and other stakeholders, and, as a socially responsible business, it is recognised that, in addition to complying with legal requirements, the Company has a wider responsibility to society which must be married with its commercial interests

Environmental Responsibilities

Howden Joinery recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that it may be causing The Company operates in accordance with Group policies, which are described in the Group's Annual Report

Employee Responsibilities

Howden Joinery recognises that employees are one of the key stakeholders in the Company and aims to provide a positive work environment for all staff in whatever capacity A vibrant culture has been vital to the rapid expansion of the business since its inception in 1995 and the unique decentralised culture is re-emphasised across all areas of the business

This culture is re-enforced by the Company's commitment to certain core principles

- Recognising by reward, the hard work of all employees
- Investing in training and development across the business
- Ensuring that recruitment, career success and progression are solely determined by an employee's abilities and achievements

Howden Joinery promotes the importance of diversity and adopts an Equal Opportunities Policy under which training and career development opportunities are available to all employees, regardless of gender, religion or race The Company is committed to meeting the code of practice on the employment of disabled people and full and fair consideration is given to disabled applicants for employment It aims to do all that is practicable to meet its responsibility towards the employment and training of disabled people and welcomes and considers fully, applications by disabled persons, having regard to their particular aptitudes and abilities It is also the Company's policy to retain employees who may become disabled while in service and to provide appropriate training

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

Details of the number of employees and related costs can be found in note 3 to the financial statements

Health and Safety

The managers and directors at Howden Joinery are personally responsible and accountable for the health and safety of their employees The health and safety requirements, including strategy, issues and performance are reviewed on a regular basis In the depots, there were 49 reportable health and safety incidents in 2007 – 12 fewer than last year Whilst this is still 49 incidents more than should be reported, it did mean that targets of reducing incidents by at least 10% were met The Company will keep working to find ways to reduce incidents

Additionally, in 2007, in line with Government guidance, a target was set across depots to reduce hours lost due to injury by 30% A 38% reduction was achieved during the year (*2006 29% reduction*)

No improvement or prohibition notices were served on the Company this year, and we had no prosecutions by the Health and Safety Executive or the Environment Agency

Community

Howden Joinery is a national network of local businesses Each depot is very much part of the community it serves and all staff are encouraged to make a contribution to the local community This year, staff made more than 1,370 donations to local good causes This amounted to some £370,000 across the Company and as well as cash donations and employee fund raising initiatives, included donations of joinery and kitchen equipment to local schools, village halls, care homes, local youth groups and sports clubs

Howden Joinery's relationship with the Leonard Cheshire Foundation, the largest UK voluntary body providing support to disabled people, continues to strengthen Not only does the Company give financial support to the foundation, but continues to design, develop and install bespoke kitchens in a number of Leonard Cheshire homes across the country

The Company's research partnership with the Foundation also continues, which aims to develop an affordable, attractive and practical kitchen product for people with physical disabilities

In September, the partnership between Howden Joinery and the Foundation was recognised at the Third Sector Awards for Excellence when it was voted best UK Charity/Corporate Partnership Both parties are proud of this achievement and the relationship will continue to be built to further benefit the community

DIRECTORS

The directors of the Company who served throughout the period, except as noted were

M Ingle
C Youell
M Robson
G Hughes (appointed 30 November 2007)
K Sims (resigned 1 January 2007)
R Fenwick (appointed 8 January 2008)
D Hallett (appointed 8 January 2008)
A Witts (appointed 8 January 2008)

No director held any beneficial interest in the shares of the Company at any time during the period

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, at 29 December 2007 and 30 December 2006 are disclosed in the accounts of that company except those set out below

	At 29 December 2007 Ordinary shares of 10p each			At 30 December 2006 Ordinary shares of 10p each		
	Shares in issue	Share options	Awards*	Shares in issue	Share options	Awards*
C Youell	Nil	1,166,383	630,000	Nil	429,611	Nil

* Conditional share awards under the Foundation Plans 2006 and 2007

The options outstanding are exercisable at prices between 42p and 158 5p

The directors also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 574,406 shares (2006 941,942 shares)

Under the terms of the Senior Managers Co-Investment Plan, C Youell had 18,108 commitment shares with Galiform Plc granting 27,612 matching shares The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

Under the terms of the 2007 Co-Investment Plan, C Youell invested 260,000 shares with Galiform Plc granting 1,300,000 matching shares The plan, which vests after 3 years, offers a maximum of 5 matching shares for every share invested in the plan subject to stretching PBT and TSR targets being met at the end of the three year performance period

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices The number of days purchases outstanding for payment by the Company at the year end was 5 days *(2006 20 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £370,000 *(2006 £350,000)* The company made no political donations during the current or previous period

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware, and
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

HOWDEN JOINERY LIMITED
DIRECTORS' REPORT (Cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop
Secretary

15 September 2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 52 week period ended 29 December 2007 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 20 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 29 December 2007 and of its profit for the 52 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London, United Kingdom

17 September 2008

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

	NOTES	52 weeks to 29 Dec 2007			53 weeks to 30 Dec 2006 - restated		
		Before Exceptional Items £000	**Exceptional Items (note 5) £000**	**Total £000**	Before Exceptional Items £000	Exceptional Items (note 5) £000	Total £000
Turnover	1	**768,783**	-	**768,783**	676,241	-	676,241
Cost of sales		**(356,936)**	-	**(356,936)**	(309,744)	-	(309,744)
Gross profit		**411,847**	-	**411,847**	366,497	-	366,497
Selling and administrative costs		**(289,460)**	-	**(289,460)**	(253,206)	-	(253,206)
Operating profit		**122,387**		**122,387**	113,291	-	113,291
(loss)/profit on disposal of fixed assets	5		**(59)**	**(59)**	-	54	54
Interest receivable		**256**	-	**256**	-	-	-
Profit on ordinary activities before taxation	2	**122,643**	**(59)**	**122,584**	113,291	54	113,345
Tax on profit on ordinary activities	6	**(37,520)**	-	**(37,520)**	(34,102)	-	(34,102)
Profit for the financial period		**85,123**	**(59)**	**85,064**	79,189	54	79,243
Amount transferred to/(from) reserves		**85,123**	**(59)**	**85,064**	79,189	54	79,243

The results for the 52 weeks ended 29 December 2007 and for the prior period are derived from continuing operations and include exceptional costs as disclosed in Note 5 There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account

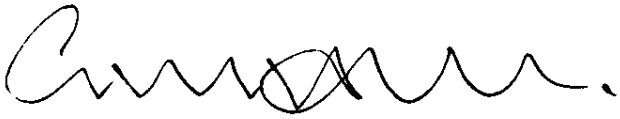
The results for the period to 30 December 2006 have been restated, following the adoption of FRS20 "Share-based payment" during the current period Details of the restatement are given in note 20

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 29 December 2007

	NOTES	29 Dec 2007 £000	29 Dec 2007 £000	30 Dec 2006 - restated £000	30 Dec 2006 - restated £000
Fixed assets					
Tangible assets	7	**30,931**		26,579	
Investments	8	**748**		748	
			31,679		27,327
Current assets					
Stocks	9	**64,350**		63,823	
Debtors	10	**618,856**		347,459	
Cash at bank and in hand		**5,751**		13,776	
			688,957		425,058
Current liabilities					
Creditors amounts due within one year	11	**(453,590)**		(271,721)	
Net current assets			**235,367**		153,337
Net assets			**267,046**		180,664
Capital and reserves					
Called up share capital	13		**100,000**		100,000
Profit and loss account	14		**164,623**		79,558
Share-based payments reserve	14		**2,423**		1,106
Shareholders' funds	14		**267,046**		180,664

The balance sheet at 30 December 2006 has been restated, following the adoption of FRS20 "Share-based payment" during the current period Details of the restatement are given in note 20

Approved by the Board of Directors on 15 September 2008



Gerard Hughes
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding periods except for the adoption of FRS20 "Share-based payment" during the period As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results for the previous period have been restated Full details of the restatement are given in the share-based payment note below

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc

The financial statements include the results for the 52 week period ended 29 December 2007 (2006 53 weeks ended 30 December)

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax All turnover arises in the United Kingdom

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted

1. ACCOUNTING POLICIES (Cont'd)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date Deferred tax is measured on a non-discounted basis

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rate ruling at the date Foreign exchange gains and losses are recognised in the profit and loss account

INVESTMENTS

Investments are stated at cost less any provision for impairment

PENSIONS

i) Defined benefit pension schemes
The Company participates in its parent company's group (Galiform plc) retirement benefit schemes This is a defined benefit arrangement, operating through two multi-employer defined-benefit schemes The assets and liabilities of the schemes are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes
During the 52 weeks to 29 December 2007, the Galiform Group began to operate a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payment" in the current period In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

1. ACCOUNTING POLICIES (Cont'd)

Fair value is measured by use of a binomial model The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging

	29 Dec 2007 £000	30 Dec 2006 £000
Depreciation	**5,631**	4,883
Hire of plant and machinery – rentals	**6,467**	5,774
Rent payable on property	**23,207**	20,659
(Profit) / Loss on disposal of fixed assets	**59**	(54)
Foreign exchange (gain) / loss	**(528)**	213
Fees payable to the Company's auditors for the audit of the Company's annual accounts	**80**	90

The auditors' remuneration is £80,000 for audit services and £40,000 for tax services (*2006 £80,000 for audit services and £40,000 for tax services)*

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows

	29 Dec 2007 No.	30 Dec 2006 No
Depots	**4,311**	3,721
Head office	**346**	301
	4,657	4,022

The aggregate payroll costs of these persons were as follows

	29 Dec 2007 £000	30 Dec 2006 £000 (restated - Note [20])
Wages and salaries	**99,922**	87,588
Social security costs	**9,808**	8,028
Other pension costs	**8,109**	8,796
Share-based payment costs (restated - see note 20)	**1,317**	651
	119,155	105,063

4 REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	29 Dec 2007 £000	30 Dec 2006 £000
Directors' emoluments	**772**	543
Pension costs	**131**	19
	903	562

The aggregate emoluments of the highest paid director in the 52 weeks to 29 December 2007 were £306,256 (*2006 £306,213)* and Company pension contributions of £75,411 (*2006 £9,570*) were made on his behalf Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £18,900 (*2006 £5,600*)

5 EXCEPTIONAL ITEMS

Loss on disposal of fixed assets
The loss on disposal of fixed assets of £59,000 (*2006 £54,000 profit*), represents net profits on disposal of plant and machinery, fixtures and fittings, and computer equipment The associated tax credit is £17,586 (*2006 £16,060 charge*)

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

	29 Dec 2007	30 Dec 2006
	£000	£000
UK corporation tax	36,988	35,507
Total current tax	36,988	35,507
Deferred taxation - Current year	1,057	(522)
- Adjustment in respect of prior periods	(651)	(883)
Change of tax rate	126	
Tax on profit on ordinary activities	37,520	34,102

There is no unprovided deferred tax in the current or prior period

On 26 June 2007 the House of Commons approved the Finance Bill which reduces the UK standard rate of Corporation tax from 30% to 28% with effect from 1 April 2008 The deferred tax asset has been recognised at 28%

Factors affecting current period corporation tax

	29 Dec 2007	30 Dec 2006
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	30 6%	29 9%

The current period corporation tax charge is higher *(2006 lower)* than the standard rate of corporation tax in the UK (30%) for the following reasons

	30 Dec 2006	30 Dec 2006
	£000	£000
Profit on ordinary activities before taxation for the period	122,584	113,996
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2006 30%)*	36,775	34,199
Effects of		
Expenditure not deductible for tax purposes	232	110
Depreciation in excess of capital allowances	(92)	1410
Movement on short term timings	55	(197)
Profit / loss on disposals of fixed assets	18	(16)
Current period corporation tax charge	36,988	35506

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will remain at around 31% due to the level of expenditure not deductible for tax purposes

7. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Short term Leasehold	Total
Cost	£000	£000	£000	£000	£000
At 30 December 2006	1,452	44,770	6,400	-	52,622
Additions	-	8,176	1,929	21	10,126
Disposals	(47)	(249)	-	(21)	(317)
At 29 December 2007	**1,406**	**52,697**	**8,328**	**-**	**62,431**
Depreciation					
At 30 December 2005	1,275	20,038	4,729	-	26,042
Charge for the period	(62)	(4,654)	(918)	-	(5,634)
Disposals	43	133	-	-	176
At 29 December 2007	**(1,294)**	**(24,559)**	**(5,647)**	**-**	**(31,500)**
Net book value					
At 30 December 2006	177	24,732	1,670	-	26,579
At 29 December 2007	**111**	**28,138**	**2,682**	**-**	**30,931**

8 INVESTMENTS

Cost	**£'000**
At 30 December 2006	748
Additions in period	-
Disposals in period	-
At 29 December 2007	**748**
Net Book Value	
At 30 December 2006	748
At 29 December 2007	**748**

Investments comprise shares in Group companies The principal subsidiaries at 29 December 2007 are listed below All subsidiaries are wholly owned and are incorporated in Great Britain, and registered in England and Wales, with the exception of Houdan Menuiserie, which is incorporated and registered in France In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	**Principal activity**
Howden Joinery Properties Limited	Property management
Houdan Menuiserie	Trade kitchen furniture and joinery
Howdens Millwork Limited	Dormant company

9 STOCKS

	29 Dec 2007	30 Dec 2006
	£000	£000
Finished goods for resale	**64,350**	63,823

There is no material difference between the balance sheet value of stocks and their replacement costs

10. DEBTORS

	29 Dec 2007 £000	30 Dec 2006 £000
Amounts falling due within one year		
Trade debtors	**85,388**	65,279
Amounts owed by fellow subsidiary undertakings	**527,429**	276,463
Prepayments and accrued income	**4,145**	3,417
Deferred taxation (see note 12)	**1,894**	2,300
	618,856	347,459

11. CREDITORS

	29 Dec 2007 £000	30 Dec 2006 £000
Amounts falling due within one year		
Trade creditors	**5,097**	17,316
Corporation tax	**72,491**	35,506
Other taxes and social security	**40,427**	34,299
Accruals and deferred income	**15,345**	14,558
Amounts owed to parent and fellow subsidiary undertakings	**320,230**	170,042
	453,590	271,721

There were no pension costs unpaid but provided for at 29 December 2007 *(2006 £Nil)*

12 DEFERRED TAXATION

	£000
At 30 December 2006	2,300
Charged during the period	(1,057)
Adjustments in respect of prior periods	651
At 29 December 2007	**1,894**

The deferred taxation asset included in debtors is analysed as follows

	29 Dec 2007 £000	30 Dec 2006 £000
Accelerated capital allowances	**(99)**	325
Other timing differences	**1,993**	1,975
	1,894	2,300

13 SHARE CAPITAL

	29 Dec 2007 £000	30 Dec 2006 £000
100,000,000 authorised ordinary shares of £1 00 each	**100,000**	100,000
100,000,000 allotted, called up, fully paid ordinary shares of £1 00 each	**100,000**	100,000

14. RECONCILIATION OF MOVEMENT IN EQUITY SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 25 December 2005 - as previously presented	100,000	770	-	100,770
Share based payments	-	(455)	455	-
At 25 December 2005 restated	100,000	315	455	100,770
Profit for the period 2006	-	79,243	-	79,243
Share based payments	-	-	651	651
At 30 December 2006 - restated	100,000	79,558	1,106	180,664
Profit for the period 2007	-	85,065	-	85,065
Share based payments	-	-	1,317	1,317
At 29 December 2007	**100,000**	**164,623**	**2,423**	**267,046**

The restatement relates to the adoption of FRS20 "Share-based payment" during the current period See note 20 for details

15. CONTINGENT LIABILITIES

The Group has guaranteed a US$10m (2006 US$ 10 0m) letter of credit facility from Standard Chartered Bank in favour of Howden Kitchens (Asia) Limited's suppliers This contingency would only trigger in the event that MFI Asia Limited fails to honour its obligations under the terms of the facility

Members of the Group have assigned UK property leases in the normal course of business Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material

VAT then the other Group companies are jointly and severally liable The amount outstanding on this guarantee at the period end is £11 3m (2006 £19 0m)

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility

16 ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary

17. PENSIONS

i) Defined contribution pensions

During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees The Company's pension charge for the current year for defined contribution pension schemes was £242,765 (2006 £90,000) There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through two funded pension schemes, which provide benefits based on the final pensionable pay of participating employees The assets of the schemes are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Galiform Plc defined-contribution retirement benefit schemes is available in the Galiform Plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2005 by the scheme actuary This was subsequently rolled forward to 29 December 2007 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 29 December 2007 of £83 5m (2006 £189 2m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Galiform Plc

The Company's defined benefit pension charge for the year was £7,865,857 (2006 £8,706,000) There were no outstanding Company contributions of at the period end

The Group has adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"* The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc, formerly MFI Furniture Group Plc

18. FINANCIAL COMMITMENTS

The Company's rent leases are contracted by Howden Joinery Properties Limited Howden Joinery Properties Limited bears the liability for these leases, but charges these onto Howden Joinery Limited as and when they are paid

The leases below were held centrally in 2005 and transferred to the Company in 2006 At 29December 2007, the annual commitments under non-cancellable operating leases were set out as below

Plant and machinery operating leases which expire	29 Dec 2007 £000	30 Dec 2006 £000
Within one year	430	655
Between two and five years	4,094	3,312
Over five years	447	394
	4,971	4,361

19. POST BALANCE SHEET EVENTS

The trade and net liabilities of Howden Kitchens Ltd were transferred to Howden Joinery Ltd on 30 December 2007 as part of a group reorganisation

The consideration paid to Howden Joinery Ltd from Howden Kitchen Ltd for the transfer was £13 5m, being the net book value of the liabilities in the books of Howden Kitchen Ltd at the time of transfer

20. SHARE-BASED PAYMENTS

1) Adoption of FRS20 and restatement of prior period figures

The Company has adopted FRS20 "Share-based payment" during the current period, in line with the requirements of that FRS The revised accounting policy is shown in Note 1 above As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results for the previous period have been restated, as shown below

Profit and loss account - 53 weeks to 25 December 2006	Operating profit £'000	Profit for the financial period £'000
As previously stated	113,942	79,894
Share-based payment charge for 2006 under previous UK GAAP		0
Share-based payment charge for 2006 under FRS20	(651)	(651)
Incremental effect for 2006 of adopting FRS20	(651)	(651)
As restated	113,291	79,243

Movement in reserves - 53 weeks to 25 December 2006	Profit and loss reserve £'000	Share-based payments reserve £'000
At 24 December 2005 - as previously stated	770	0
Cumulative incremental effect of adopting FRS20 retrospectively	(455)	455
At 24 December 2005 - restated	315	455
Profit for the period transferred to reserves - as previously stated	79,894	0
Add back share-based payment charge for 2006 under previous UK GAAP	0	0
Share-based payment charge for 2006 under FRS20	(651)	651
At 25 December 2006 - restated	79,558	1,106

20. SHARE-BASED PAYMENTS (continued)

In the periods before adopting FRS20, UK GAAP allowed for a company to recognise a charge for share-based payments on a different basis, based on spreading the cash cost of acquiring and issuing the underlying shares over the performance period of each share-based payment scheme The method of calculating the share-based payment charge under FRS20 is somewhat different, and has resulted in an increase in charge when adopting FRS20

Also, in periods before adopting FRS20, UK GAAP did not require that the share-based payment charge was allocated to employing companies throughout the group, as is the case with FRS20 Therefore, prior to adopting FRS20, the whole share-based payment charge under the previous UK GAAP was taken in Galiform Corporate Services Ltd, a fellow Galiform PLC Group subsidiary, and recharged back to the group operating companies together with a variety of other staff and other costs

2) Charge for the period and details of each scheme

The Company recognised a charge of £1 3m (2006 charge of £0 7m) in respect of share-based payments during the period This charge is included as part of Staff Costs The Company has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

Galiform PLC, the ultimate holding company, has various share-based payment schemes, which are all equity-settled and which are offered from time to time to Galiform Group employees The main details of all schemes which existed during the period are given below

All schemes relate to shares in Galiform PLC All references in paragraphs (1) (a) to (f), and paragraph (3) below to "the Company", share price, EPS, Total Shareholder Return ("TSR"), market price, dividend yield, and volatility refer to Galiform PLC, and its 10p ordinary shares

a) Performance Share Plan

This is a discretionary free share plan Participants have a contingent right to receive free shares with performance conditions attached, based on the company's EPS

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period

i) no other condition other than continued employment

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) Senior Management Co-investment Plan

This is a co-investment plan whereby employees can defer their cash bonus into shares ("commitment shares") or pay cash to the company to buy shares at market value ("top up shares") The employee receives dividends on these shares

The plan awards a number of matching shares, equal to 1 5 times the number of commitment and top-up shares Participants are not entitled to dividends on the matching shares This plan vests three years from the date of grant

There are two subdivisions The first vests at 40% if there is an EPS growth of RPI plus 10% over the performance period, and at 100% if there is an EPS growth of RPI plus 20% over the performance period The second vests at 50% if if there is an EPS growth of RPI plus 80% over the performance period, and at 100% if there is an EPS growth of RPI plus 100% over the performance period Both awards vest on a straight-line basis between these maximum and minimum points

EPS growth performance is measured from the start of the financial year in which the awards were granted The performance period is three years

20. SHARE-BASED PAYMENTS (continued)

c) 2007 Executive Co-investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25 percent of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

d) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

2006 Awards

These vested on the last day of the 2005/06 financial year, as the performance conditions were met There is a further deferral period of two years before the awards are made available to the participants

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence The award vests on a straight line basis between these two points

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92p 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

2007 Awards

These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met There is a further deferral period of two years before the vested awards are made available to the participants

Vesting was dependant upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different via performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i)20% of the Options will vest if the Company's Total Shareholder Return ("TSR") over the Performance Period is at the median level against the FTSE-250 constituents (the "Comparator Group") rising on a straight line basis to 50% of the Options vesting for upper quartile performance, and in addition
ii) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%
iii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period
iv) No other condition except for continued employment with the Group
v) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting
vi) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

f) Share Incentive Scheme (Freeshares)

This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

g) SAYE (Sharesave)

This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date The term of these schemes is five years

20. SHARE-BASED PAYMENTS (continued)

3) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS and as further explained in note 33

a) Performance Share Plan

	52 weeks to 29 December 2007	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
i) no other condition other than continued employment	**Number**	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	N/A
Granted in period	**230,000**	**0 00**	0	N/A
Lapsed in period	**(11,000)**	**0 00**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**219,000**	**0 00**	0	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0 00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.42**		N/A	
Weighted average fair value of options granted during the period (£)	**1.50**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 00**		0 00	
- to	**0.00**		0 00	

20. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	N/A
Granted in period	**659,032**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**659,032**	**0 00**	0	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0 00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2 42**		0 00	
Weighted average fair value of options granted during the period (£)	**1 51**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 00**		N/A	
- to	**0.00**		N/A	

20. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points.

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**0**	**N/A**		N/A
Granted in period	**539,055**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**539,055**	**0.00**	0	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**3.00**		0	
Weighted average fair value of options granted during the period (£)	**1.08**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0 00**		N/A	

20. SHARE-BASED PAYMENTS (continued)

b) Senior Management Co-investment Plan

	52 weeks to 29 December 2007	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**111,412**	**0.00**	420,970	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(69,828)**	**0.00**	(299,159)	0 00
Exercised in period	**0**	**N/A**	(10,399)	0 00
In issue at end of period	**41,584**	**0.00**	111,412	0 00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		0 67
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.25**		0 99	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0 00**		0 00	

20. SHARE-BASED PAYMENTS (continued)

c) Executive Co-investment Plan: 2007 award, PBT target

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
Granted in period	**0**	**N/A**	0	0 00
Lapsed in period	**1,080,000**	**0.00**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**0**	**N/A**	0	N/A
	1,080,000	**0.00**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0.00**		N/A	
Weighted average contractual life remaining for share options outstanding at the period end (years)		**3.00**		N/A
Weighted average fair value of options granted during the period (£)	**1.08**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0.00**		N/A	

20. SHARE-BASED PAYMENTS (continued)

c) Executive Co-investment Plan. 2007 award, TSR target

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	0 00
Granted in period	**720,000**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**720,000**	**0.00**	0	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0.00**		N/A	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**3.00**		N/A	
Weighted average fair value of options granted during the period (£)	**0.55**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0.00**		N/A	

20. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

i) 2006 award. Nil-cost options

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**540,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	540,000	0 00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**540,000**	**0 00**	540,000	0 00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		0 52	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

20. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan
ii) 2006 award. Market-value options

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**1,380,000**	**0.92**	0	N/A
Granted in period		**N/A**	1,380,000	0 92
Lapsed in period	**(663,580)**	**0.92**	0	N/A
Exercised in period		**N/A**	0	N/A
In issue at end of period	**716,420**	**0.92**	1,380,000	0 92
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		0 16	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 92**		0 92	
- to	**0 92**		0 92	

20. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

ii) 2007 award. Nil-cost options

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	N/A
Granted in period	**760000**	**N/A**	0	N/A
Lapsed in period	**0**	**0 00**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**760,000**	**0.00**	0	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		N/A	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0 00**		N/A	
Weighted average fair value of options granted during the period (£)	**1 01**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0 00**		N/A	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options
i) 20% vesting for median TSR and EPS growth of RPI+10%, rising to 50% for upper quartile TSR and EPS+RPI+20%, and in addition a further 20% vesting if EPS growth of RPI + 10% pa, rising to 50% for EPS growth RPI + 20% pa.

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	387,958	1 55	557,888	1 47
Granted in period	0	N/A	0	N/A
Lapsed in period	(387,958)	1.55	(169,930)	1 30
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	387,958	1 55
Exercisable at end of period	0	N/A	135,618	1 46
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 29	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		1 46	
- to	N/A		1 60	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

ii) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**252,340**	**1.07**	252,340	1 07
Granted in period		**N/A**	0	N/A
Lapsed in period	**(126,170)**	**1.07**	0	N/A
Exercised in period		**N/A**	0	N/A
In issue at end of period	**126,170**	**1.07**	252,340	1 07
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**1.07**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0 42**		1 42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**1.07**		1 07	
- to	**1.07**		1 07	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

iii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**252,340**	**1.11**	606,581	1 05
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(134,469)**	**1 20**	(75,406)	1 31
Exercised in period	**0**	**N/A**	(278,834)	0 86
In issue at end of period	**117,871**	**1 27**	252,340	1 11
Exercisable at end of period	**117,871**	**1 27**	5,189,279	1 11
Number of options in the closing balance that were granted before 7 November 2002	**117,871**		5,189,279	
Weighted average share price for options exercised during the period		**N/A**		1 22
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0 00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**1 03**		0 68	
- to	**1.32**		1 32	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

iv) No other performance conditions except continued employment	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**252,340**	**0.42**	252,340	0 42
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**(108,440)**	**0.42**	0	N/A
In issue at end of period	**143,900**	**0.42**	252,340	0 42
Exercisable at end of period	**143,900**	**0 42**	252,340	0 42
Number of options in the closing balance that were granted before 7 November 2002	**143,900**		252,340	
Weighted average share price for options exercised during the period		**0.00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		N/A	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 42**		0 42	
- to	**0 42**		0 42	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

v) Full vesting if EPS increases by RPI + 9%	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**1,790,535**	**1 08**	3,685,370	1 13
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(112,181)**	**1.11**	(1,360,308)	1 37
Exercised in period	**(204,712)**	**1 04**	(534,528)	0 68
In issue at end of period	**1,473,642**	**0.21**	1,790,535	1 08
Exercisable at end of period	**1,473,642**	**0.21**	4,692,705	1 07
Number of options in the closing balance that were granted before 7 November 2002	**1,473,642**		4,692,705	
Weighted average share price for options exercised during the period		**1.04**		1 01
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 57	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 63**		0 56	
- to	**1 39**		1 60	

21. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

vi) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p. Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	1,249,212	1.59	0	N/A
Lapsed in period		N/A	0	N/A
Exercised in period		N/A	0	N/A
In issue at end of period	1,249,212	1 59	0	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2 42		N/A	
Weighted average fair value of options granted during the period (£)	0.43		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.59		N/A	
- to	1.59		N/A	

20. SHARE-BASED PAYMENTS (continued)

f) Share incentive scheme (Freeshares)

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**612,262**	**0.00**	826,708	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(2,227)**	**0.00**	(20,026)	N/A
Exercised in period	**(17,534)**	**0.00**	(194,420)	0 00
In issue at end of period	**592,501**	**0.00**	612,262	0 00
Exercisable at end of period	**592,501**	**0 00**	612,262	0 00
Number of options in the closing balance that were granted before 7 November 2002	**592,501**		612,262	
Weighted average share price for options exercised during the period		**0.92**		1 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

20. SHARE-BASED PAYMENTS (continued)

g) SAYE (Sharesave)

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	500,547	1 84	816,373	1 84
Granted in period	0	N/A	0	N/A
Lapsed in period	(89,026)	1.84	(315,826)	1 84
Exercised in period	0	N/A	0	N/A
In issue at end of period	411,521	1.84	500,547	1 84
Exercisable at end of period	0	1.84	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.01		2 01	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.84		1 84	
- to	1 84		1 84	

20. SHARE-BASED PAYMENTS (Continued)

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	52 weeks to 29 December 2007	53 weeks to 30 December 2006
Dividend yield (%)	**2.0**	1 75 to 4 0
Expected share price volatility (%)	**36 0 to 39 0**	38 7 to 41 0
Historical volatility (%)	**36 0 to 39.0**	38 7 to 41 0
Risk-free interest rate (%)	**5.0 to 5.8**	3 8 to 5 3
Expected life of options (years)	**2.5 to 3.2**	1 0 to 6 5

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility